

Initial Funding Automation: Phase 1

Expected improvements to the funding package review · October 2026

Summary

Phase 1 reduces the Accounting effort on each initial funding package from about four hours to about one. At the current volume of roughly 100 loans a month, that frees about 3,565 staff hours a year, the equivalent of 2 full-time positions, worth about \$194k a year after running costs. Running costs are about \$1,800 a year. Every existing review, approval, bank-entry and release step stays with Accounting.

The wire instruction step has already been tested. On 100 test packages it read every routing and account number correctly and flagged every value it got wrong, so nothing incorrect reached the reviewer unmarked. Connecting the tested setup to the production service is part of Phase 1, along with intake, cross-document checks, exception handling and the output files. The savings for those steps are estimates.

4 h → 1 h staff time per funding package	3,565 h staff hours freed per year, about 2 FTE	\$194k net value per year at 100 packages a month	\$0.004 AI processing cost per package, against \$220 of staff time today
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Where the time goes

Today one person assembles each package, keys the wire details, checks the settlement statement against the email and the wire, chases exceptions and prepares the CashPro and BCMP files. After Phase 1 the package arrives assembled and checked, and the reviewer works from a list of flagged items rather than from the source documents.

Staff time per funding package

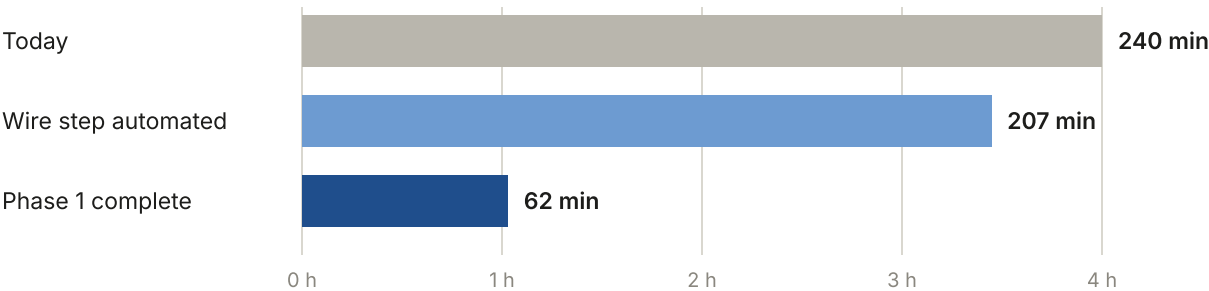


Figure 1. Automating the wire step alone saves about 33 minutes a package (14%). With all of Phase 1 in place, the saving is about 3 hours (74%).

Minutes per package, by task

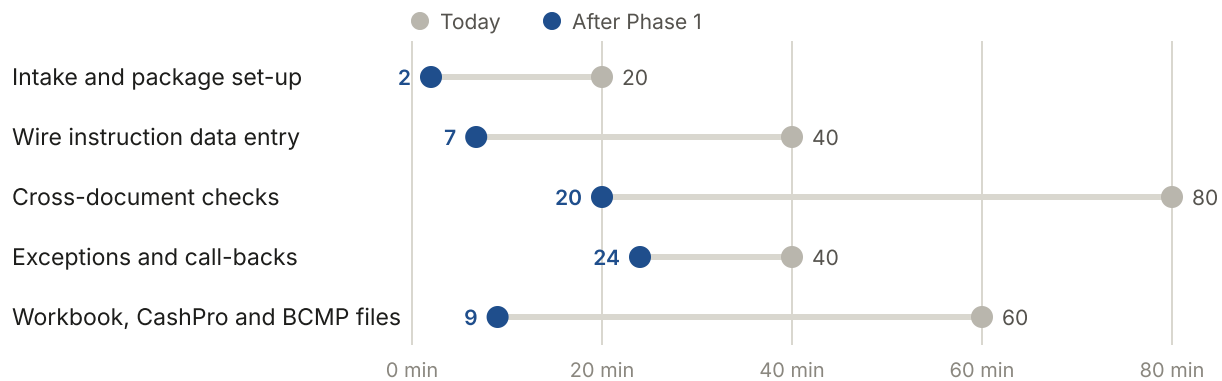


Figure 2. The largest reductions are in cross-document checks and in preparing output files. Exceptions keep the most manual time, because call-backs to verify masked or changed wire details stay with a person.

What Phase 1 delivers

- Funding request emails and attachments collected into a standard SharePoint package for each loan.
- Beneficiary name and address, bank name and address, routing number and account number read from the wire instructions.
- Automatic checks between the internal settlement statement, the request email and the wire instructions: amounts, fees, fund, dates, routing number format and masked accounts.
- A list of exceptions for Accounting, each with the reason it was raised.
- The IF triage workbook, the BOA CashPro import file and the BCMP wet-funding values, ready for review.

Accounting keeps the controls it has today: review of the source documents and outputs, resolution of flagged values, CashPro and ProMerit entry, second-person approval and final release. The system prepares payments. It does not send them.

Accuracy

The wire step was tested on 100 wire instructions written to be hard to read, with repeated digits, small type in dense tables, fax-quality scans and details split across two pages.

Wire instruction test results, 100 packages

Routing and account numbers read correctly		100% 200 of 200
Wrong values flagged for the reviewer		100% 42 of 42
All fields read correctly		93% 558 of 600

Figure 3. The 42 values that were not read exactly were all the same case: the beneficiary given as the company name instead of the full account name (for example, without "Client Trust Account"). Each was flagged.

Each wire instruction is read twice by two independent methods. Any field where the two readings differ is flagged, and every routing number is checked against the ABA check digit. The system does not rely on the AI's own confidence score: in testing, that score was as high for wrong values as for correct ones. On average the reviewer sees 1.4 of the six wire fields flagged per package.

Annual value

	Wire step automated	Phase 1 complete
Staff hours freed per year	665	3,565
Full-time equivalents	0.4	2.0
Value of staff time at \$55/hour	\$36,600	\$196,100
Running cost	\$1,800	\$1,800
Net value per year	\$34,800	\$194,300

Cumulative net value over two years

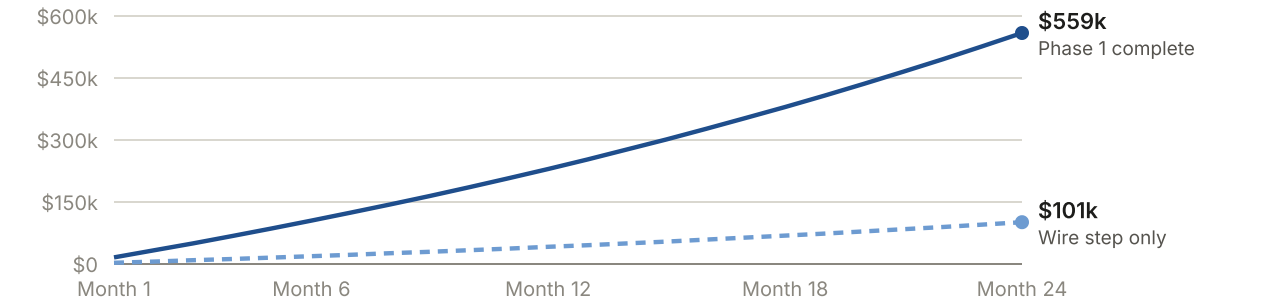


Figure 4. Volume is currently about 100 loans a month and growing. This assumes 3% growth a month, reaching about 197 packages in month 24. Build costs are not included.

The result depends mainly on volume and on how much review work is left once each step is automated. The table shows net value per year for Phase 1 under different combinations.

Packages	Half the estimated review work	As estimated	50% more review work
50 a month	\$111k	\$96k	\$81k
100 a month	\$225k	\$194k	\$164k
200 a month	\$451k	\$390k	\$330k

Speed and running cost

	By hand today	After Phase 1
Time to prepare 100 packages	400 staff hours	2 min 28 s of processing, then review
Staff time per package	4 hours	about 62 minutes
Cost per package	\$220 staff time	\$57 staff time + \$0.0038 AI
AI processing per year, 100 packages a month	–	about \$5
Azure hosting, storage and monitoring per year	–	about \$1,800

AI processing is priced at Microsoft's published Azure rates: Mistral Document AI at \$3.00 per 1,000 pages, and gpt-6-luna at \$0.10 per million input tokens and \$0.50 per million output tokens. The hosting figure is an estimate.

Basis of the figures

- **Measured:** accuracy, flagging, reviewer workload on the wire step and processing speed, from 100 synthetic test packages. The AI results used were recorded from earlier live runs and processed by the production software.
- **Provided by the business:** about four hours of staff time per package today, and about 100 loans a month.
- **Estimated:** how the four hours divide across tasks, the review time left after each step is automated, a loaded staff cost of \$55 an hour, 3% monthly growth and hosting cost.
- **Not included:** the cost of building Phase 1, and the avoided cost of a misdirected wire.